

Armour Security India Private Limited vs Ambience Private Limited on 17 September, 2024

Author: Ashok Bhushan

Bench: Ashok Bhushan

NATIONAL COMPANY LAW APPELLATE TRIBUNAL
PRINCIPAL BENCH: NEW DELHI

Company Appeal (AT) (Insolvency) No. 1343 of 2024
&
I.A. No. 4857 of 2024

[Arising out of the Order dated March 05, 2024 passed by the
'Adjudicating Authority' (National Company Law Tribunal, New
Delhi Bench) in (RCP) IB-1/ND/2024]

IN THE MATTER OF:

Armour Security (India) Private Limited
B-87, 2nd Floor, Defence Colony
New Delhi - 110024
E-mail: ocean.laws@gmail.com

...Appellant

Versus

Ambience Private Limited
L-4, Green Park Extension
New Delhi - 110016
E-mail: ambience@ambiencegroup.in

...Respondent

Present:

For Appellant : Mr. Abhijeet, Mr. Ankur Aggarwal and Mr. Nitin
Sharma, Advocates

For Respondent : Mr. V. Anush Raajan, Advocate

JUDGMENT

(Hybrid Mode) [Per: Arun Baroka, Member (Technical)] The present Appeal is being preferred by the Appellant, being the Operational Creditor against the Impugned Order dated 05.03.2024 (Impugned Order) wherein the Adjudicating Authority, New Delhi, Bench-III, inter-alia, dismissed / rejected the Application being (RCP) IB-1/ND/2024. Brief facts of the case

2. The present Appeal is being preferred by the Operational Creditor / Appellant against the Impugned Order dated 05.03.2024 passed by the Adjudicating Authority in (RCP) IB-1/ND/2024. The Appellant had filed an Application under the provisions of Section 9 of Insolvency and Bankruptcy Code (IBC), 2016, against the Respondent for initiation of insolvency resolution process

against the Corporate Debtor for the non-payment of dues arising from supply of manpower services.

3. During the pendency of the said Application, the CIRP against the Corporate Debtor stood commenced in some other proceedings due to which the Application of the Appellant, then numbered as CP IB No. 531/ND/2020 was disposed of by the Adjudicating Authority vide order dated 13.02.2021, with a liberty to file a claim with Resolution Professional on the grounds that the insolvency resolution process against the Respondent was already initiated in another matter i.e. Vistra (ITCL) India Private Limited versus Ambience Private Limited being CP No. IB 1600/ND/2018 vide order dated 21.12.2020.

4. The said Order dated 21.12.2020 was challenged before this Appellate Authority in Company Appeal (Insolvency) No. 06/2021 by the Respondent and vide Order dated 02.08.2022, inter alia, this Appellate Tribunal had set aside the Order of Adjudicating Authority Order dated 21.12.2020. Consequently, the CIRP proceedings against the Respondent were quashed.

5. Thereafter, the Appellant preferred an Application being Rest. A No 81/2022 under the provisions of Rule 11 of National Company Law Tribunal Rules, 2016 for restoration of application, filed earlier under the provisions of Section 9 of IBC being CP (IB) No 531/ND/2020. The said Restoration Company Appeal (AT) (Insolvency) No. 1343 of 2024 2 of 21 Application was dismissed by the Adjudicating Authority vide Order dated 10.11.2022 for non-prosecution.

6. To pursue its case yet again, the Appellant filed RA 101/2022 in Company Petition (IB) No 531/ND/2020, inter alia, seeking the restoration of Rest. A No 81/2022. This was finally heard at length and the Adjudicating Authority vide Order dated 21.04.2023 dismissed the said Application being Rest. A 101/2022.

7. The Appellant preferred an Appeal against the Order dated 21.04.2023 passed by the Adjudicating Authority in Rest. A 101/2022 being Company Appeal No. 1270 of 2023 and this Hon'ble Appellate Authority vide Order dated 16.10.2023 was pleased to allow the Appeal and, inter alia, directed to restore the Application being IA No. 81/2022 before the Adjudicating Authority.

8. Accordingly, to place the Order dated 16.10.2023 passed by this Appellate Authority, the Appellant filed an Application being IA No. 6329/2023 which was listed before the Adjudicating Authority on 24.11.2023 wherein the Adjudicating Authority after taking consideration of the Order dated 16.10.2023 passed by this Hon'ble Appellate Authority directed RA No. 81/2022, the Adjudicating Authority on 07.12.2023 heard the arguments of both parties and vide order dated 19.12.2023 allowed the said IA being RA No. 81/2022 and directed to list the main matter (Company Petition) on 18.01.2024. The Adjudicating Authority vide Order dated 08.02.2024 was pleased to reserve the orders in the main CP which was renumbered to (RCP) Company Appeal (AT) (Insolvency) No. 1343 of 2024 3 of 21 IB-1/ND/2024 and subsequently vide Order dated 05.03.2024, inter alia, dismissed the Application filed under the provisions of Section 9 by the Appellant.

Submissions of the Appellant

9. The Appellant has been providing security services to the Respondent i.e., Ambience Pvt. Ltd. since year 2013 and later on, this arrangement was converted into writing vide an Agreement dated 1st May 2017 for its site at Ambience Triverton, Sector - 50, Noida valid for one-year up to 30th April 2018. After the expiry of the agreement, arrangements between the parties were going on verbally.

10. In terms of the said agreement, the Appellant was to provide the security services to the Corporate Debtor at its site located at Ambience Triverton, Sector 50 Noida, which was then under construction. It is common ground that the said agreement expired on 30.04.2018 and was never renewed. The parties continued to be engaged together and the Appellant provided the manpower services which were demanded by the Corporate Debtor. As per the terms of the invoices, the credit period for payments was 30 days.

11. That on failure on the part of Respondent to pay an outstanding of Rs. 89 lakhs approx., the Appellant approached the Hon'ble NCLT, Delhi by filing a Petition under Section 9 of the IBC. The Hon'ble NCLT, Delhi dismissed the Petition filed by the Appellant vide Impugned Order dated 05.03.2024. Company Appeal (AT) (Insolvency) No. 1343 of 2024 4 of 21

12. The Adjudicating Authority vide Order dated 05.03.2024 has erroneously dismissed the Application filed by the Appellant on the grounds that there is a pre-existing dispute between the parties, which was raised by the Corporate Debtor prior to the issuance of demand notice under the provisions of Section 8 of IBC, 2016.

13. With respect to the alleged pending disputes considered by the Adjudicating Authority while arriving at decision, four emails dated 18.12.2018, 22.05.2019, 30.07.2019 and 02.01.2020, have been read and mentioned incorrectly. The Adjudicating Authority failed to appreciate that the first email dated 18.12.2018 sent to the Appellant by the Corporate Debtor was about theft and issuance of debit notes and claimed to be dispute is concerning some other site at Sector 115, Noida. In response to the email of 18.12.2018, the Appellant had responded and stated its position, which was ignored by the Adjudicating Authority. Further, the alleged issue of theft stood resolved as stated by the Appellant in its email of 26.09.2019. Also the petition under Section 9 is filed for the Respondent's site at Sector 50, Noida.

14. While in the email of 18.12.2018 (which is totally irrelevant to the subject matter at hand) the Corporate Debtor raised the issue of deputing lesser number of guards at site, the due payments for the services already given by the Appellant as on that date stood at Rs. 70 lakhs approx. While the payments to the tune of more than Rs. 70 lakhs, were pending / withheld, the Corporate Debtor could not have expected the Appellant to keep providing Company Appeal (AT) (Insolvency) No. 1343 of 2024 5 of 21 security guards who are to be paid on daily / weekly / monthly basis by the Appellant.

15. Another email which is considered while arriving at the decision of pre- existing dispute is of 22.05.2019. It is claimed that the said email of 22.05.2019 was placed by the Corporate Debtor in its

reply which was sent to the Appellant requesting the Appellant for increasing the manpower. It is relevant to mention that, on 23.03.2019, the Appellant had issued an email, inter alia, asking for the payments from the Corporate Debtor. As per said email and attachment thereof, the dues of the Appellant concerning the transactions germane to the subject matter of this Appeal were Rs. 85,26,176.70/- (rupees eighty-five lakhs, twenty-six thousand, one-hundred and seventy-six and seventy paise only). Vide the said email, fresh terms of payments were also decided. The said email has been completely ignored by the Adjudicating Authority in the Impugned Order, while considering the pendency and as to why and for what reasons, the security / manpower was not enhanced by the Appellant even after receiving requests from the Corporate Debtor.

16. While dealing with the third email of 30.07.2019, the Adjudicating Authority has committed an error. The Appellant actually left the site of the Corporate Debtor in or around September 2019, which is evident from the email of 24.09.2019, 25.09.2019, 26.09.2019 and 27.09.2019 which, inter alia, provides that actually the Appellant was constrained to withdraw the Company Appeal (AT) (Insolvency) No. 1343 of 2024 6 of 21 services due to pending dues of Rs. 81 lakhs approx., as of September 2019 which even after repeated requests stood unpaid.

17. With respect to the fourth email which is reiterated under the Impugned Order with the date mentioned as 02.01.2020. Appellant contends that the said mentioned date is incorrect. This email was sent by the Corporate Debtor to the Appellant on 26.05.2019. And as on the said date also, the dues of the Appellant which remained unpaid were Rs. 79 lakhs approx.

18. Appellant contends that the issue qua the deployment of number of manpower is totally based on oral discussion between the parties. Accordingly, the email qua the shortage of manpower was only a request from the Respondent for increase of manpower. Further, it is pertinent to mention that the Operational Creditor has raised the invoices only with respect to the manpower supplied by it and the Corporate Debtor has never raised any dispute on the invoices raised by the Operational Creditor. Further as far as the concern qua leaving the work site is concerned, since the parties are not bound with any contract, the same was discussed and decided by the parties orally. It is pertinent to mention that the Corporate Debtor has not paid a large sum of money to the Operational Creditor and it has to bear all the expenses of manpower supplied by them, hence it was not possible for the Operational Creditor to continue with the service provided to Corporate Debtor. Further, requests for increasing the manpower were entertained and ignored at times solely due to the non-payment by the Corporate Debtor of the pending dues of the Appellant for which undisputed services were already Company Appeal (AT) (Insolvency) No. 1343 of 2024 7 of 21 received. The Adjudicating Authority failed to appreciate the said facts and separate the grain from chaff that as on the date of the invoice, there was no dispute whatsoever concerning any particular invoice which otherwise was acknowledged. The emails raising frivolous disputes started emanating at the time when the Appellant already had dues for more than Rs. 50 lakhs and started following up for payments.

19. The Adjudicating Authority has failed to appreciate the facts mentioned above. Accordingly, present Appeal is preferred for seeking prayers for setting aside order dated 05.03.2024 passed by Adjudicating Authority in (RCP) IB- 1/ND/2024 and directing for admission of the Corporate

Debtor for CIRP. Submissions of the Respondent

20. Basis the records in the APB filed with the Adjudicating Authority, the Corporate Debtor contends that it is incorporated in the year 1986 and one of India's trusted real estate group. 'Ambience Group' claims to an acclaimed real estate company and enjoys tremendous goodwill for its pioneering work in the real estate field. Ambience Group enjoys an unparalleled reputation and goodwill in the field of real estate. The Corporate Debtor Company is having an annual turnover of about Rs. 100 crores. The Corporate Debtor Company is commercially solvent.

21. Operational Creditor/Armour Security (India) Pvt. Ltd. represented to the Corporate Debtor/Respondent that it is a premier security agency with goodwill in the market and the experience and human resources to provide Company Appeal (AT) (Insolvency) No. 1343 of 2024 8 of 21 security services. Relying upon the said representations and assurances, Respondent Company agreed to engage Applicant's services at its under- construction housing project site i.e. Ambience Tiverton, Sector-50, Noida, Uttar Pradesh. The security at Respondent's site was a big responsibility and the best security had to be provided to take care of materials lying at the site such as bricks, cement, concrete, sand, steel, scaffolding, stone, tiles, mud, wood, glass, plastic, and several other construction tolls and equipment (concrete mixtures, cranes, rollers etc.). The Applicant had to provide adequate number of trained security guards, gunmen and supervisors without any lapse as the security and goodwill of the Respondent depended upon it. However, it turned out to be a false premise used by the Applicant to get the security service contract.

22. Believing the representation and assurances made by the Applicant, the Respondent awarded the agreement for providing the security services dated 01.05.2017 to the Respondent. Under the said security service agreement, the Applicant had agreed that it shall provide the staff with the following strength (i) Security Guards 20 in number (ii) Security Gunmen 1 in number and (iii) Security Supervisor 1 in number at the Respondent's said under construction housing project site i.e. Ambience Tiverton, Sector-50, Noida, Uttar Pradesh. It was agreed in the said security service agreement that the Applicant and its staff shall take proper and due care and reasonable precautions to preserve life, property and goods of the Respondent from loss, destruction, damage, waste, pilferage of the site and shall not lend anyone to Company Appeal (AT) (Insolvency) No. 1343 of 2024 9 of 21 effect the asset of the Respondent. It was agreed that the Applicant shall provide adequate required number of competent, trained and uniformed personnel and shall ensure to operate the services as per agreement. It was also agreed that in case of any theft/loss and it is proved that the theft/loss occurred due to negligence of the security staff of the Applicant/Appellant, the Applicant shall compensate the Respondent for the loss caused.

23. But due to the security staff/personnel deputed by the Applicant/Appellant, the Respondent suffered loss of goods and theft, mental tension, agony, and loss of reputation and goodwill. The security guards, gunmen and supervisor (staffs) provided by Applicant were not sufficient in numbers as per the agreement. Several complaints were made to the Applicant by the management of Respondent against the loss of goods and theft and security personnel and security staff for their shortage in number, which was never resolved. An email dated 18.12.2018 was sent to the Applicant about theft at the site and a police complaint was also filed and even a debit note was issued. The

Applicant's security personnel and security staff completely failed in providing security at the Respondent's said under construction housing project site. However, the Applicant failed to not resolve the issues and the Respondent suffered losses because of the Applicant. Number of times the security and staff of the Applicant/Appellant went missing in duty time and on several occasions left the site without completing the time and also absented themselves from the duty. The complaints regarding the deficit number of manpower were communicated to the Company Appeal (AT) (Insolvency) No. 1343 of 2024 10 of 21 Applicant/Appellant, vide email dated 22.05.2019 by the Respondent. Through email dated 22.05.2019 it was pointed out that there are only 12 number of security guards during day time and only 8 in night shifts and the Applicant was requested to bring up the deficiency and however, the problem was not resolved by the Applicant.

24. The complaints of shortage of manpower was again pointed out vide email dated 26.05.2019 by the Respondent to the Applicant/Appellant. It was again pointed out that there are only 12 number of security guards during day time and only 7 in night shifts and due to which it has become difficult to run the site. Due to negligent attitude and security lapse of the Applicant and its staff, the Respondent's site was completely exposed to loss, destruction, damage, waste and even incidents of theft and pilferage occurred. Through email dated 25.08.2019, it was pointed out that there is daily shortage of manpower and the repeated remarks have been made in the manpower register. Despite above all, the Applicant deliberately abandoned and withdrew its security without giving prior notice for which an email dated 25.09.2019 was also sent. The efficiency and performance of manpower provided by Applicant/Appellant was not as per the said service agreement and the number of manpower provided was also short of the desired numbers. Regarding the deficiency in service several complaints were made by the Respondent to the Applicant, which were never resolved the Applicant/Appellant.

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25. The Applicant/Appellant has filed the above-mentioned Application on wholly wrongful and frivolous grounds. As on date, there is no debt or liability existing against the Corporate Debtor/Respondent. The Application is wholly malafide and has been filed for ulterior motives and oblique purposes. The Applicant/Appellant is scandalously trying to abuse the IBC procedure for ulterior motives. The Corporate Debtor/Respondent Company is commercially solvent. Financial Creditor cannot be allowed to use the Insolvency and Bankruptcy Code procedure as a tool to blackmail and harass the Corporate Debtor.

26. Also, there is a dispute in existence between the parties and the Operational Creditor cannot trigger the insolvency process under the IBC. The deficiencies in the services and abandonment of service, incidents of theft and issuing debit notes have been duly communicated to the Operational Creditor. There is an existence of dispute relating to service provided and abandonment of service. The Corporate Debtor seriously disputes the amount because there is a dispute regarding the deficiencies in the services and abandonment of service and loss of reputation and goodwill due to the Operational Creditor. The Operational Creditor has neither filed any invoice/bill for the alleged amount of Rs. 29,27,109/- (rupees twenty- nine lakhs, twenty-seven thousand, one-hundred and nine only) at serial no. 1 (page 3 of brief synopsis of Petition) in the alleged chart nor has provided

any explanation as to how and in what manner/basis the said alleged amount is outstanding. Out of alleged invoice/bills filed by the Applicant Company Appeal (AT) (Insolvency) No. 1343 of 2024 12 of 21 (page no. 47-77 of Petition) allegedly claimed to be outstanding as mentioned at serial no. 2-23 (at page no. 3 and 4 of chart of brief synopsis of Petition) has already been paid by the Respondent. Chart of invoice/bills already paid with their proof of payment are annexed as Annexure-4 colly. For the rest of the alleged bills/invoice (serial no. 24-31 of the alleged chart) there is dispute regarding the service and abandonment of the service. Moreover, the alleged bills are not verified by the Corporate Debtor and are false, forged, fabricated and never been submitted to the Corporate Debtor. The Operational Creditor has furnished false information and has filed false affidavit and statement on oath. The Operational Creditor has deliberately furnished false information about the payments of invoices/bills (serial no. 2-23) which has already been made by the Corporate Debtor and whereas the Operational Creditor has claimed them to be outstanding/due. Apart from this, there is a dispute about the enforceability of the contract between the parties and the alleged amount is not admitted by the Corporate Debtor. The dispute raised by the Corporate Debtor is bonafide and fall within the meaning of 'dispute' under Sub-Section 6 of Section 5 of the IB Code. Therefore, the Hon'ble Tribunal should reject the above mentioned Application.

27. That the Application under reply is not maintainable under Section 9 of IBC, 2016. The Operational Creditor has not filed any certificate from the financial institution maintaining accounts of the Operational Creditor certifying that there is no payment of unpaid operational debt by the Corporate Debtor. The Operational Creditor has not come before this Hon'ble Company Appeal (AT) (Insolvency) No. 1343 of 2024 13 of 21 Tribunal with clean hands and has not filed its true statement of account and/or ledger. There was no valid notice issued under Section 8 of IBC, 2016, and the same is false and frivolous, without following the due procedure, having no merit. An appropriate reply dated 22.01.2020 was duly sent to the said frivolous notice within limitation stating that there is a dispute regarding the alleged claim made by the Applicant as well, regarding the deficiency in the service. There is no existing debt/liability or due payment against the Corporate Debtor.

28. The alleged claim of the Operational Creditor is time-barred. The Application under reply is not maintainable under the provisions of IBC, 2016, and Insolvency and Bankruptcy Rules, 2016. The Operational Creditor has received notice of dispute vide Corporate Debtor's Reply/Communication dated 22.01.2020 and despite that it has filed the above-mentioned Application, which is not maintainable.

Analysis and Findings:

29. The Appellant Armour Security had sought the initiation of the Corporate Insolvency Resolution Process against Ambience Private Limited (Respondent) due to alleged non-payment of dues arising from the provision of manpower services. However, the Adjudicating Authority dismissed the Application, citing a pre-existing dispute between the parties. The Appellant had provided manpower and security services to the Respondent at its construction site. The business relationship was formalised under a written agreement dated 01.05.2017, which expired on 30.04.2018. Despite the Company Appeal (AT) (Insolvency) No. 1343 of 2024 14 of 21 expiry of the agreement, the Appellant had continued to provide services basis oral agreements, and several invoices were raised

for the work performed.

30. The Appellant claimed that the Respondent defaulted on payments amounting to about Rs. 79 lakhs, despite several requests for payment. In response, the Respondent contended that there were pre-existing disputes relating to the quality of services, including incidents of theft, shortage of manpower, and abandonment of service by the Appellant's staff, as communicated through various emails dated 18.12.2018, 22.05.2019, 26.05.2019 and 25.08.2019. The Respondent further argued that it had already made payments for a substantial portion of the invoices and denied the outstanding amount claimed by the Appellant.

31. The Adjudicating Authority dismissed the Application filed under Section 9 of the IBC on the ground that there was a pre-existing dispute between the parties. The Authority has relied on multiple emails exchanged between the parties, prior to the issuance of the demand notice, which indicated that the Respondent had raised concerns about the Appellant's performance and the adequacy of manpower services.

32. The Appellant contended that the Adjudicating Authority had erroneously relied on emails that did not pertain to the specific services or invoices in dispute. The Appellant argued that the emails referred to issues at a different site and that the alleged theft and security issues had been resolved by September 2019. Furthermore, the Appellant claimed that the Company Appeal (AT) (Insolvency) No. 1343 of 2024 15 of 21 Respondent's failure to make timely payments led to the withdrawal of its services, and that there were no disputes regarding the specific invoices raised for the services provided.

33. The Appellant also submitted that the Respondent's contentions of service deficiencies were raised only after significant amounts had become due and were merely a tactic to avoid payment.

34. The Respondent argued that the deficiencies in the Appellant's services were well-documented and communicated before the issuance of the demand notice. The Respondent highlighted several instances of service failures, including theft at the site, the absence of security personnel, and the Appellant's abandonment of the project without prior notice. These issues, according to the Respondent, constituted a "pre-existing dispute" within the meaning of Section 9 of the IBC, 2016, thus barring the initiation of CIRP. The Respondent further argued that a significant portion of the invoices had already been paid, and the outstanding amount claimed by the Appellant was either disputed or unsupported by documentation.

35. We have carefully examined the facts of the case, the contentions of both parties, and the Impugned Order of the Adjudicating Authority.

36. It is well-settled law that for an Application under Section 9 of the IBC to be admitted, the Operational Creditor must demonstrate that there is a 'debt' and a 'default' as defined under the IBC. However, if the Corporate Debtor can prove the existence of a bonafide dispute regarding the debt prior Company Appeal (AT) (Insolvency) No. 1343 of 2024 16 of 21 to the issuance of the demand notice under Section 8, the Application must be dismissed.

37. In the present case, the emails dated 18.12.2018, 22.05.2019, 26.05.2019 and 25.08.2019 clearly indicate that the Respondent had raised concerns regarding the adequacy of services provided by the Appellant, including manpower shortages and security lapses. These communications occurred prior to the issuance of the demand notice, which was issued on 14.01.2020, and provides sufficient evidence of a pre-existing dispute.

38. The Appellant's contention that these emails pertain to a different site and are irrelevant to the dispute at hand is unconvincing. The Respondent has provided consistent evidence of service deficiencies at the construction site where the Appellant was engaged. Moreover, the Appellant's withdrawal of services in September 2019, allegedly due to non-payment, only exacerbates the existing dispute between the parties.

39. Some of the emails, which are reflecting pre-existing dispute as produced in the Reply are as follows:

a) Email dated 18.12.2018 at 11:31 AM from Ambience to Armour Security (Appeal/ pg. 172): Armour Security was informed about that there have been instances of theft from the construction site on account of lack of security guards. Armour Security was put on notice that immediate action must be taken against the erring security personnel deployed by Armour Security at the site. Hence, Ambience would be entitled to issue debit note to recover its losses caused by the theft.

b) Email dated 18.12.2018 at 03:16 PM from Armour Security to Ambience [Appeal/ pg. 173) Armour Security acknowledged in writing that there was lack of security guards deployed by them Company Appeal (AT) (Insolvency) No. 1343 of 2024 17 of 21 despite request to increase manpower. Armour Security further acknowledged that there were thefts from the site, and that police complaints have been filed. Armour Security requested for payments to be released, which were accordingly complied with.

However, Armour Security failed to recover any money or material against the theft at the site in view of lack of security.

c) Email dated 22.05.2019 at 01:33 PM from Ambience to Armour Security (Appeal/ pg. 278): Despite several reminders in the past there was lack of security guards at the site and therefore, Armour Security was put on notice that the requisite number of security personnel were not present at the site. There were only 12 presents during the day and only 8 at night. That there were manpower problems at Armour Security which requires immediate action.

d) Email dated 26.05.2019 at 12:06 PM from Ambience to Amour Security [Appeal/ pg. 279): There was continuous shortage of manpower at Noida Sector-50 site. Despite earlier notice there were only 12 guards during the day and 7 guards in night. There is risk of theft of valuable items and materials at the project site.

e) Email dated 30.07.2019 at 01:19 PM from Ambience to Armour Security (Appeal/ pg. 280] Armour Security was warned that abandonment of site with 2 days' notice is not acceptable. A minimum of 30 days' notice was required before withdrawal of services. Armour Security cannot abandon the site at its own sweet will. Armour Security has been paid for Noida and also payment was released for other sites. It is shocking that Armour Security would threaten to abandon site after receiving complete payments up to 30.07.2019. It was reiterated that Armour Security has failed to provide up to date muster roll and was also not taking responsibility to the various thefts that took place at various site on account of lack/quality of services provided by Armour Security. Therefore, a debit (penalty) has been imposed on Armour Security which is sought to be avoided.

40. It is to be noted that Armour Security issued demand notice in Form 3 and Form 4, under Rule 5 of Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016 upon Ambience, which was issued on 14.01.2020. Immediately in response thereto, a notice of dispute was issued by Ambience vide letter dated 22.01.2020.

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41. The above communication exchanged between the parties, prior to issuance of demand notice under the Code, proves that the quality of services and quantum of invoices were matters of dispute between the parties. The Adjudicating Authority after perusing the above said emails came to the conclusion that there are pre-existing disputes between the parties, rendering the Section 9 Petition not maintainable against the Respondent. In fact, the Adjudicating Authority has noted as follows:

"...It can be seen from these emails that the Corporate Debtor highlighted instances of theft from the construction site on account of lack of security guards but all the efforts of the Corporate Debtor have fell on deaf ears as the Operational Creditor was not responding at all. It is clear from the correspondence between the parties that there is an undeniable dispute with respect to shortage of manpower and the quality of service provided by the Applicant."

"All the e-mails mentioned above were sent prior to the issuance of demand notice u/s 8(1) of the Code dated 14.01.2020 by the Operational Creditor. Considering the facts and circumstances as reflected from the record, we are of the considered opinion, that the dispute existed between the Operational Creditor and the Corporate Debtor prior to issue of the demand notice u/s 8(1). Hence, we hold that there is a pre-existing dispute pending in between the Operational Creditor and the Corporate Debtor."

42. We find that the main ground basis which the Appeal cannot be accepted is existence of pre-existing dispute, which is noted in series of email exchange of emails. In such situations of pre-existing disputes, Hon'ble Supreme Court in Mobilox Innovation Pvt. Ltd. Vs. Kirusa Software Private Limited (2018) 1 SCC 353, at para 40 had held as under:

"..

40. It is clear, therefore, that once the operational creditor has filed an application, which is otherwise complete, the adjudicating authority must reject the application under Section 9(5)(2)(d) if notice of dispute has been received by the operational creditor or there is a record of dispute in the information utility. It is clear that such notice must bring to the notice of the operational creditor the Company Appeal (AT) (Insolvency) No. 1343 of 2024 19 of 21 "existence" of a dispute or the fact that a suit or arbitration proceeding relating to a dispute is pending between the parties. Therefore, all that the adjudicating authority is to see at this stage is whether there is a plausible contention which requires further investigation and that the "dispute" is not a patently feeble legal argument or an assertion of fact unsupported by evidence. It is important to separate the grain from the chaff and to reject a spurious defence which is mere bluster. However, in doing so, the Court does not need to be satisfied that the defence is likely to succeed. The Court does not at this stage examine the merits of the dispute except to the extent indicated above. So long as a dispute truly exists in fact and is not spurious, hypothetical or illusory, the adjudicating authority has to reject the application..."

43. The Corporate Debtor had raised a plausible contention about a pre-existing dispute, which in the instant case is not a moonshine or feeble legal argument. Therefore, the Adjudicating Authority was not incorrect to reject the Application filed under Section 9 of the Code. Given the existence of a bonafide dispute, this Tribunal finds no reason to interfere with the Impugned Order of the Adjudicating Authority.

44. Appellant/Armour Security in Form-5 of Section 9 Petition has alleged an outstanding of INR 81,11,787/- (rupees eighty-one lakhs, eleven thousand, seven hundred and eighty-seven only) for the period 01.04.2017 up to 25.09.2019. There are claims that these entries are exaggerated, unsupported, disputed and were never verified, acknowledged or admitted by Ambience without attaching any proof of the existence of debt and default in payment thereof. We are not going into all this as we have noted earlier that there is a pre-existing dispute between the parties which is not a moonshine or feeble legal argument. Therefore, the claims of the Appellant under Section 9 of the Code have to be rejected irrespective of other defences taken up by the Respondent.

Company Appeal (AT) (Insolvency) No. 1343 of 2024 20 of 21 Conclusion

45. For the reasons outlined above, the Appeal is dismissed. The Impugned Order dated 05.03.2024 passed by the Adjudicating Authority is upheld. Order

46. The Appeal is hereby dismissed. All related IAs pending, if any, are closed. No order as to costs.

[Justice Ashok Bhushan] Chairperson [Barun Mitra] Member (Technical) [Arun Baroka] Member (Technical) New Delhi September 17, 2024 pawan Company Appeal (AT) (Insolvency) No. 1343 of 2024 21 of 21